The Culture of Business, Finance and the Economy

Class 3 – 10 March

Dr. Juan M. del Nido

First semester 2026

Recap

First class: Economics as a kind of culture, with its ways of knowing and its ways of seeing

Second class: how does it know? How does it see? Characterisation

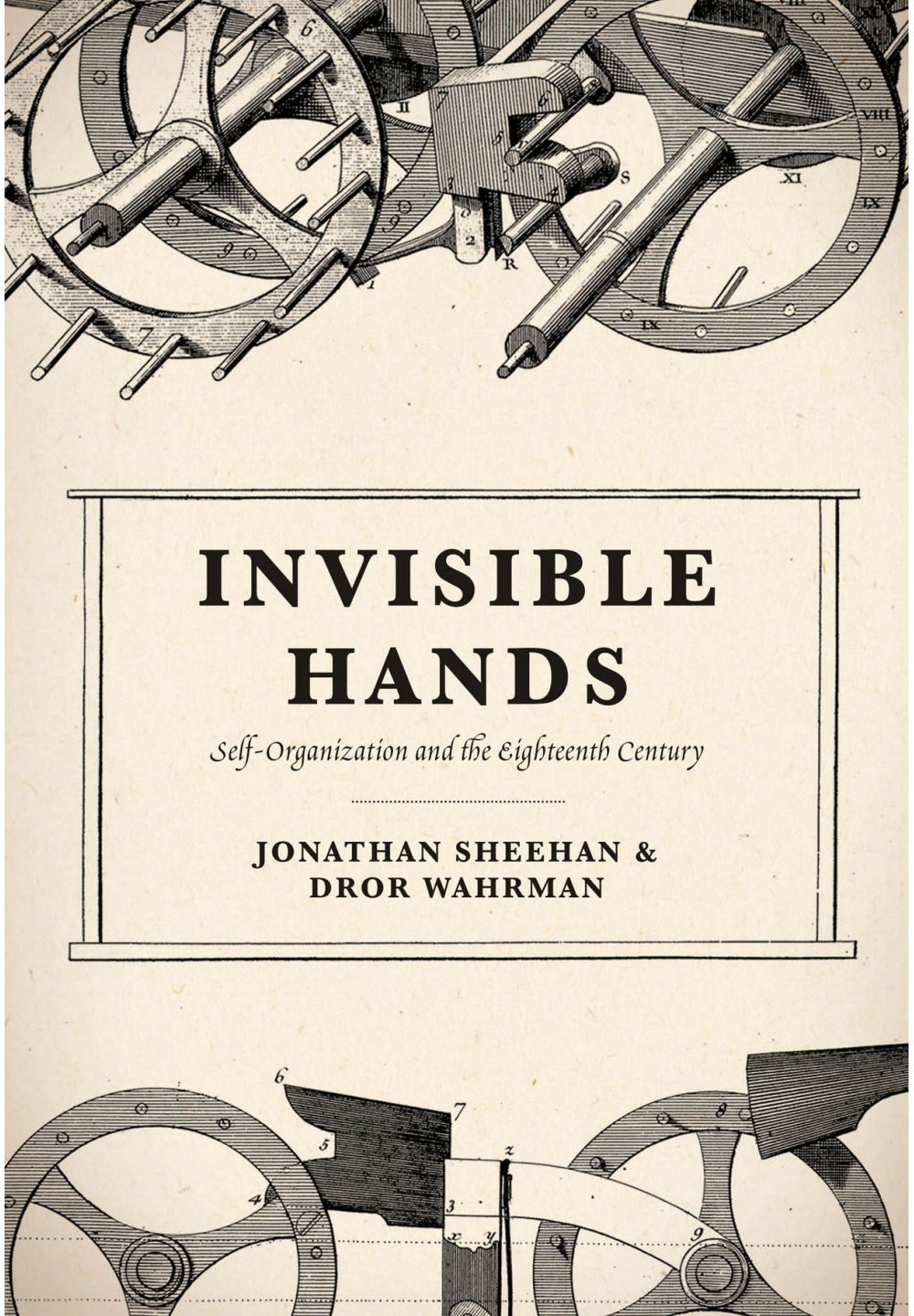
Today

The market: a kind of Order

A logical history

How to approach this class: follow the story

“Self-Organization and the eighteenth century”



Until the 1700s

The moral and natural order are aligned:

God held things together

1710s

A New & Exact MAP of the Coasts, Countries and Islands within the LIMITS of the
SOUTH SEA COMPANY,
NEW MEXICO
FLORIDA
GULF of MEXICO
NORTH SEA
TIERRA FIRMA
AMAZONES
PACIFICK SEA
SOUTH SEA
The Port of ACAPULCO
The Island of LAMPELLA
The Island of NICOYA
The Island of PLAN FERNANDOS
A Map of the ISTHMUS of DARIEN the BAY of PANAMA &c.
NORTH SEA
VERAGUA
BAY of PANAMA
THE SOUTH SEA
PEYPERS or PEPYS I.
A Map of STRAITS of MAGELLANS
SOUTH SEA
TERRA DEL FUEGO

“… founded in 1711 to exchange the debts of soldiers, sailors and other government creditors with shares in the firm with rights to trade in Spanish South America. In 1719 the Company bid for a large share of the government debt, financed with the public issuance of shares by subscriptions. Share prices rose dramatically from January to June in 1720”

Shares peaked at over 1000 pounds…

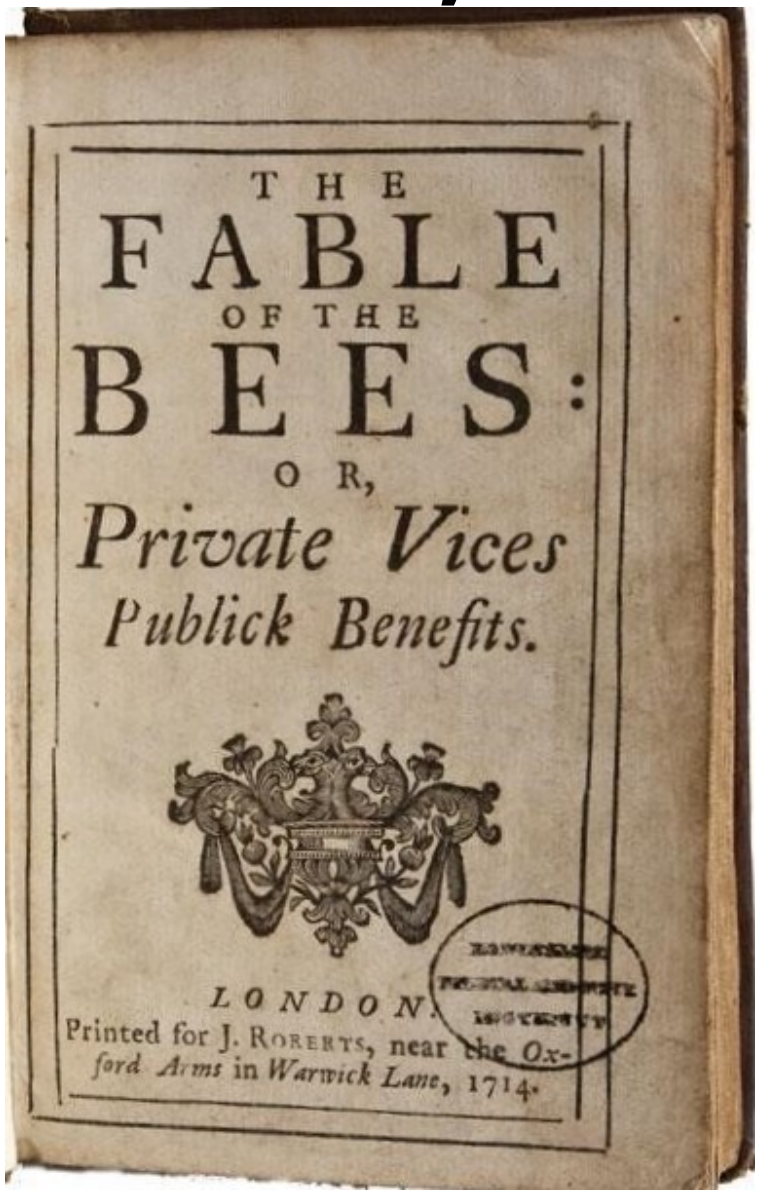
And by December they weren’t even worth 130.

First international Financial Crisis

Challenged understandings of complexity and causality, of agency and choice, of aggregates, randomness, contingency, order and disorder

Also, it happened just as European imaginings of order were crossing a threshold…

1. Bernard Mandeville, The Fable of the Bees, 1714



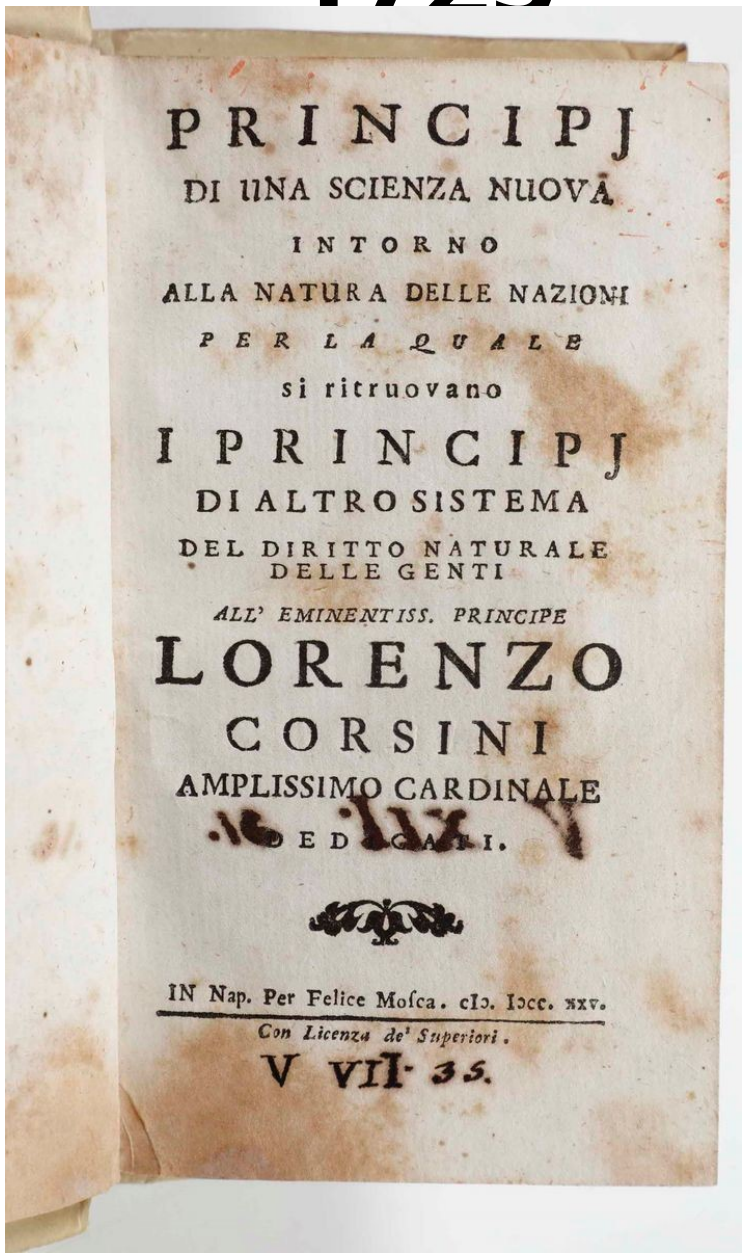
THE
FABLE
OF THE
BEES:
OR,
Private Vices
Publick Benefits.

LONDON:
Printed for J. Roberts, near the *Oxford Arms* in *Warwick Lane*, 1714.

Individuals are driven by “the Passions within, that, unknown to themselves, govern their Will and direct their Behaviour.”

“Men work by Contraries”: some “are too stingy,” others “spen[d] their Money freely,” and so on. Their particular choices, however, do not really matter in the greater scheme of things: it is the very multiplicity of these contradictory pulls that guarantees overall social well-being.

2. Giambattista Vico's *Scienza Nuova*, 1725



PRINCIPJ
DI UNA SCIENZA NUOVA
INTORNO
ALLA NATURA DELLE NAZIONI
PER LA QUALE
si ritruovano
I PRINCIPJ
DI ALTRO SISTEMA
DEL DIRITTO NATURALE
DELLE GENTI
ALL' EMINENTISS. PRINCIPE
LORENZO
CORSINI
AMPLISSIMO CARDINALE
[illegible] E D [illegible] I.

IN Nap. Per Felice Mosca. cIↃ. IↃcc. xxv.
Con Licenza de' Superiori.
V VII 35.

“without human discernment or counsel, and often against the designs of men, providence has ordered this great city of the human race”

“(nations) are brought into being, by occasions arising often far apart and sometimes quite contrary to the proposals of men, yet fitting together of themselves”

“out of the passions of men each bent on his private advantage,” “[divine providence] has made the civil institutions by which they may live in human society.”

nations conjured a higher social order and purpose from the micro chaos following their particularized purposes.

3. Montesquieu's *Persian Letters*, 1721

LETTRES

PERSANES.

TOME I.

A COLOGNE,

Chez PIERRE MARTEAU, Imprimeur-Libraire, près le Collége des Jésuites.

M. DCC. LIV.

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“What was surprising was not the disorder but its opposite: a collection of letters, each of which was allowed to proceed seemingly more or less at random, that nonetheless came together through an invisible and somehow mysterious mechanism into a unified, meaningful aggregate – a novel.”

4. Alexander Pope, 1733

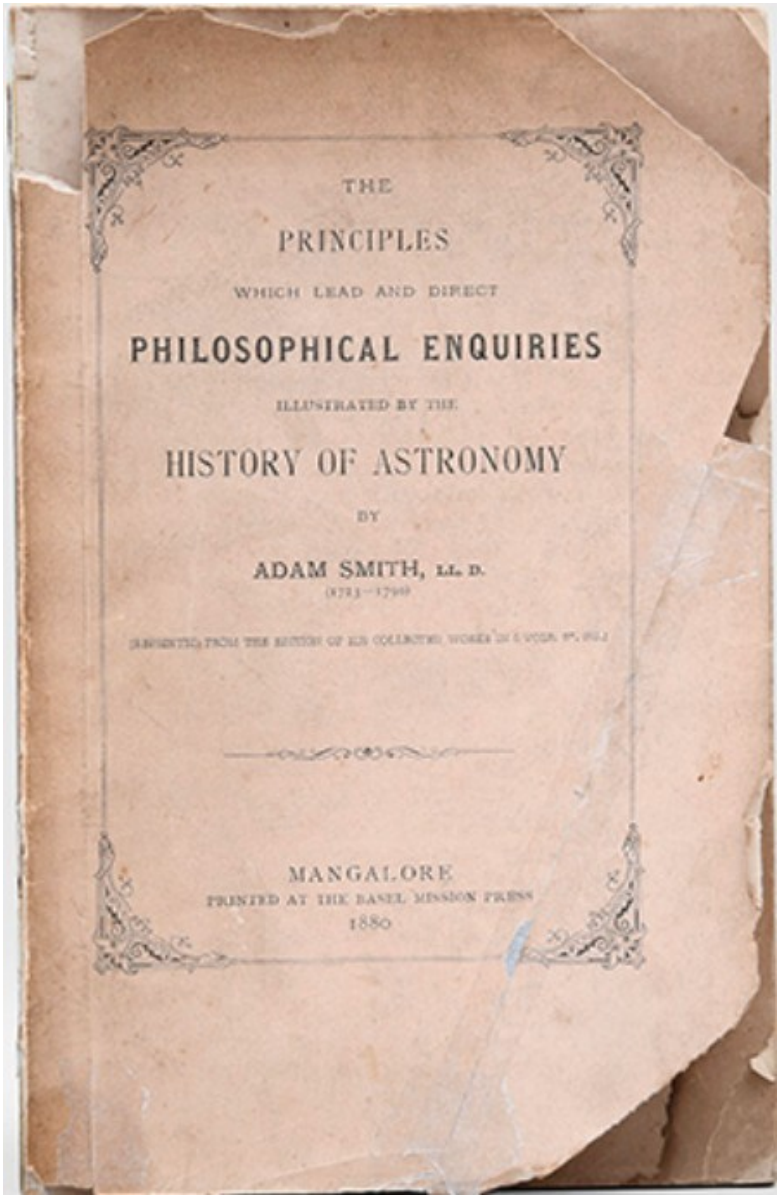
All Nature is but Art, unknown to thee;
All Chance, Direction, which thou canst not see;
All Discord, Harmony, not understood;
All partial Evil, universal Good.

The gen’ral ORDER, since the whole began,
Is kept in Nature, and is kept in Man.

Order emerged—how? by itself?—from disorder at the level of the constituent elements of the greater whole.

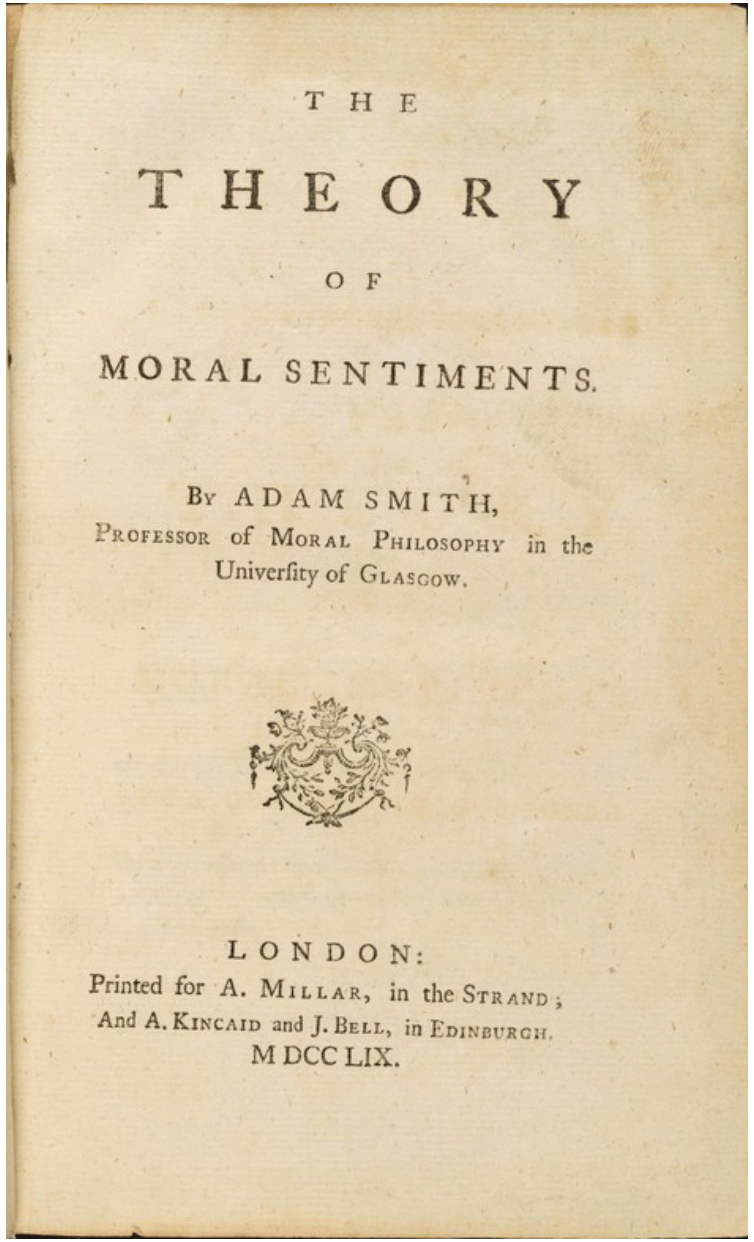
Complex systems, left to their own devices, still generated order immanently, a natural and moral order (what is is what should be), without external direction, through self-organization.

5. A. Smith, 1758: strike one


THE
PRINCIPLES
WHICH LEAD AND DIRECT
PHILOSOPHICAL ENQUIRIES
ILLUSTRATED BY THE
HISTORY OF ASTRONOMY
BY
ADAM SMITH, LL.D.
MANGALORE
PRINTED AT THE BASEL MISSION PRESS
1880

‘Fire burns, and water refreshes; heavy bodies descend, and lighter substances fly upwards, by the necessity of their own nature; nor was the invisible hand of Jupiter ever apprehended to be employed in those matters.’

5. A. Smith, 1759: strike two



THE

THEORY

OF

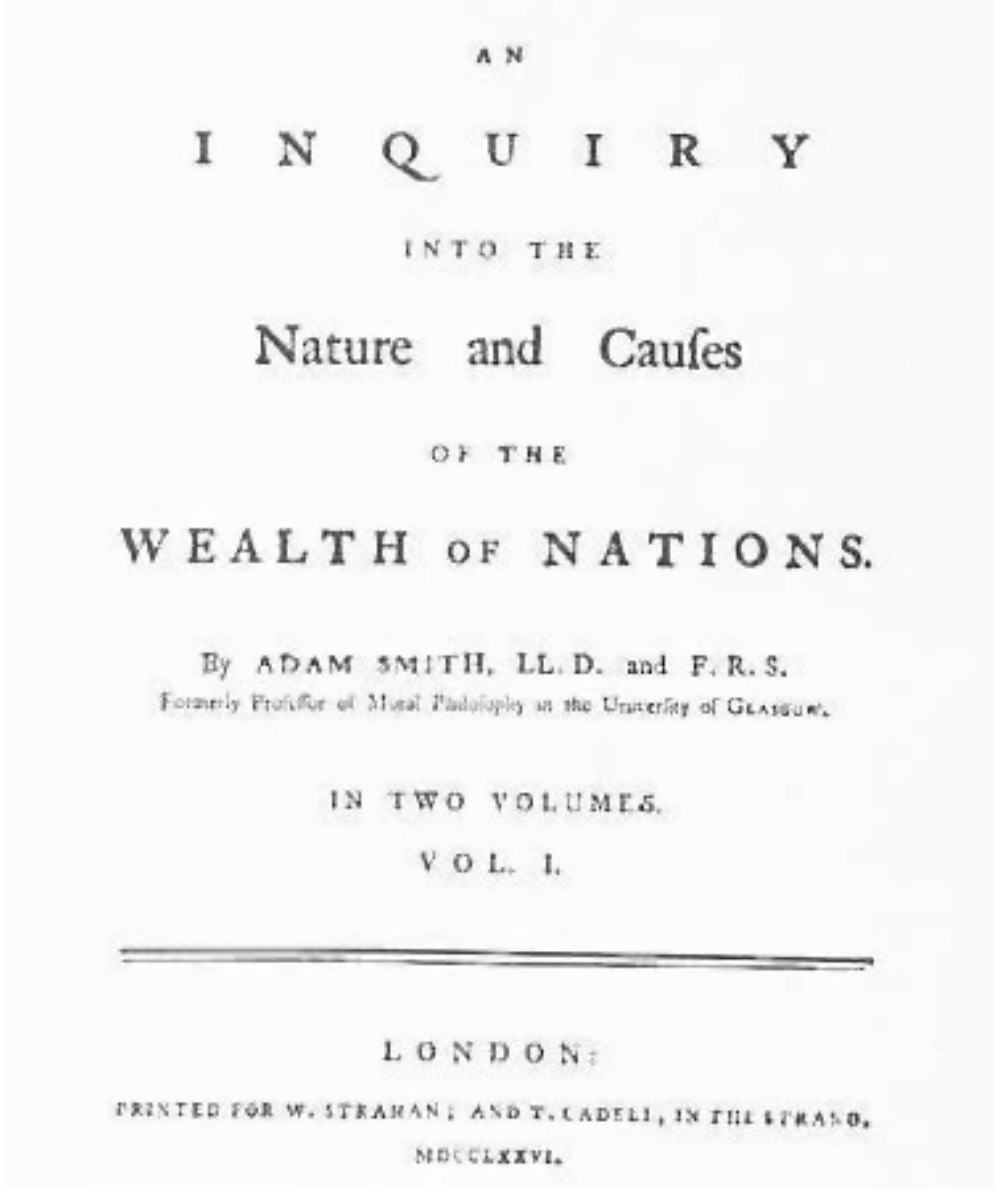
MORAL SENTIMENTS.

By ADAM SMITH,
Professor of Moral Philosophy in the
University of Glasgow.

LONDON:
Printed for A. Millar, in the Strand;
And A. Kincaid and J. Bell, in Edinburgh.
MDCCLIX.

‘They [the rich] are led by an invisible hand to make nearly the same distribution of the necessities of life, which would have been made, had the earth been divided into equal portions among all its inhabitants, and thus without intending it, without knowing it, advance the interest of the society, and afford means to the

5. A. Smith, 1776: strike three



AN

INQUIRY

INTO THE

Nature and Causes

OF THE

WEALTH OF NATIONS.

By ADAM SMITH, LL.D. and F.R.S.

Formerly Professor of Moral Philosophy in the University of GLASGOW.

IN TWO VOLUMES.

VOL. I.

LONDON:

PRINTED FOR W. STRAHAN; AND T. CADELL, IN THE STRAND.

MDCCLXXVI.

‘by directing that industry in such a manner as its produce may be of the greatest value, he intends only his own gain, and he is in this, as in many other cases, led by an invisible hand to promote an end which was no part of his intention.’

The market was just one version of the “invisible hand” an unexplainable, inherent immanent order out of chaos.

Break

Where did God go?!

All information about everything that is relevant meets in the market; the market allocates resources, sends everyone signals, punishes those who don’t understand its basic laws and rewards those who do. You can’t see ”the market”, on its own, or just locate it in a place. It’s not just in the actual shop, or bazaar, it’s nowhere and everywhere. Only the market can know and only through the market things matter and count; we can interpret it through techniques and artefacts – equations, laws, indexes, spreadsheets, algorithms, software, models – to learn to know through it, act on its information and thrive in it.

All information about everything that is relevant meets in God; God allocates resources, sends everyone signals, punishes those who don’t understand (His) basic laws and rewards those who do. You can’t see “God”, on (His) own, or just locate (Him) in a place. (He)’s not just at (holy site), or (holy object), (He)’s nowhere and everywhere. Only God can know and only through God things matter and count; we can interpret (His will) through techniques and artefacts – holy books, holy buildings, ceremonies, rituals, bodily discipline – to learn to know through him, act on His information and thrive in Him.

(… or is he?)

"Essential and thoroughly engaging."—E. J. Dionne, Jr.

THE MARKET AS GOD

HARVEY COX

New York Times Bestselling author of *How to Read the Bible*

Then … what about economists, business majors, consultants, bankers, financiers?

Shamans mediate between worlds. They act on behalf of the community, or of individuals, healing, harming, translating and interpreting knowledge, mediating and producing obscure, secret or forbidden knowledge. They translate the unseen, engaging the gods, the world, nature and anything beyond ”normal” human abilities through techniques and knowledge only they have, artefacts only they are allowed or effectively able to use, etc.

The term *shamanism* comes from the Manchu Tungus word *šaman*. The noun is formed from the verb *ša-* ‘to know’; a shaman is “one who knows.”

The Kwakiutl Forest

Rites of passage

Culturally approved and culturally understood moments where one’s status changes: one becomes something else. These moments test us, push us to a certain limit, sometimes defile or degrade us, to mark us as able to handle, produce, or mediate certain kinds of knowledge or practices. To make it past them is to become worthy of that which is kept beyond that test.

1.er semestre

- Matemática I
- Economía I
- Contabilidad Básica
- Instituciones Políticas y de Gobierno
- Comprensión de Textos y Escritura

2.º semestre

- Matemática II
- Economía II
- Historia de Occidente a partir de la Modernidad
- Problemas Filosóficos

- Introducción a la Estadística
- Introducción al Derecho
- Microeconomía
- Economía Matemática

- Análisis Estadístico
- Historia Económica Internacional
- Macroeconomía
- Tópicos de Microeconomía

Tales from an overworked City

Dozing in the toilet and never saying goodnight: the gruelling life of bank interns and juniors

“It was a highly competitive environment: (this person) had fought 1,500 other candidates to get one of two places in the investment banking division. The hours were brutal. Working through the night was almost a rite of passage.”

“he worked three nights in a row. Over a 72-hour period, he got a taxi back from the office to his flat in east London, at around 5am each morning. He would then shower briefly before returning to his desk. This exhausting ritual is known in banking circles as the "magic roundabout" – so-called because the taxi driver will sometimes wait outside while an intern washes, puts on a fresh shirt and re-emerges blinking in the dawn light.”

Many argue that (rules controlling this behaviour) are impossible to implement: junior staff will work around policies in order to prove themselves.

(They) place themselves under enormous pressure to perform rather than simply being told to do so by their boss. "The younger ones will work endlessly to impress." Thomas Cuvelier, a former investment banker who recruits junior bankers and private equity employees, agrees: "In practice, nothing stops junior bankers and interns from working at home . . . it's a very hard rule to apply."

A bank's human resources consultant says: "Stating that one should not work on Saturdays is like telling people in a bar that they should drink less. In other words, there is a *culture* and there are rules. If these rules do not reflect the culture, rules are useless."

Percent

Why does this matter?

The market as an order

not whether “it works” or not, but what matters is the kind of sense it makes when we thinkg about it in these terms

Conclusion